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ECONOMIC SURVEYS BY THE OECD

IRELAND

MARCH 1962

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT
PARIS

O.C.D.E.
BIBLIOTHÈQUE
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BASIC STATISTICS

THE LAND

Area (1,000 sq.km.)	70

Major cities (Population April 1961)

Dublin	535,000
Cork	78,000
Limerick	50,000
Dun Laoghaire	48,000
Waterford	28,000

THE PEOPLE

Population (April 1961)	2,815,000
No. of inhabitants per sq. km.	40
Decrease in population:	
— Annual average 1956-61	16,700
Population:	
— Annual average 1956-61	26,400
— Annual average per 1,000 inhab.	9
Emigration:	
— Annual average 1956-61	43,100
— Annual average per 1,000 inhab.	15
Labour, force, total (April 1960)	1,112,000
Employment in:	
— Agriculture	413,000
— Industry	202,000
— Construction	63,000

PRODUCTION

Gross national product in 1960 (millions of pounds)	651
GNP per head in 1960 (US dollars)	647
Gross fixed investment (average 1956-60):	
— per cent of GNP	14
— per head (U.S. $)	83
Origin of national income in 1960:	
— Agriculture	24
— Mining, manufacturing and construction	28
— Services and distribution	48
Home food production as percentage of total food availability (av. 1956-57)	142

THE GOVERNMENT

Public current expenditure on goods and services 1960 (percentage of the GNP)	23
General government current revenue 1960 (percentage of the GNP)	23
Public debt, 31 Mar. 1960 (ratio to general government current revenue)	157

Composition of Parliament (1961):

Fianna Fail	70 seats
Fine Gael	47
Labour	16
Others	11

Last election: 4th October 1961.

LIVING STANDARDS

Calories per head per day (1958)	3,504
Consumption of energy (1959) (OECD* av. = 100)	68
Agricultural production per head (1957-58) (OECD* av. = 100)	45
Industrial production per head (1960) (OECD* av. = 100)	58

*Excluding Canada and the United States

Average weekly earnings of industrial workers in June 1961	158s. 6d.
No. of passenger cars in use per 1,000 inhab. (1959)	56
No. of telephones per 1,000 inhab. (1959)	52
No. of radio sets per 1,000 inhabs. (1959)	173
Public expenditure on education per head in 1958-59 (U.S. $)	15

FOREIGN TRADE

EXPORTS

Exports of goods and services as a percentage of the GNP (av. 1956-60)	36
Main exports (percentage of total exports in 1960):	
Live cattle	23
Beef and veal	10
Textiles and clothing	10
Beer	5
Bacon	4
Chocolate crumb	3
Wool	3
Petroleum products	2

IMPORTS

Imports of goods and services as a percentage of the GNP (av. 1956-60)	39
Main imports (percentage of total imports in 1960):	
Machinery and electrical goods	11
Textiles and clothing	11
Vehicles	10
Chemicals	6
Gasoline and oil	5
Iron and steel	5
Live animals	4
Coal	4

THE CURRENCY

Monetary units: Irish pound

Currency units per U.S. $ 0.357.

CORRIGENDUM

BASIC STATISTICS

THE PEOPLE

5th line :
for Population, *read* Natural increase in population .

THE GOVERNMENT

Public current expenditure on goods and services 1960 :
for Public, *read* General Government ;
for 23, *read* 12.

General government current revenue 1960 (percentage of the G.N.P.) :
for 23, *read* 24.

Public debt, 31 Mar. 1960 (ratio to general government current revenue) :
for 1960, *read* 1961 ;
for 157, *read* 284.

ECONOMIC SURVEYS BY THE OECD

IRELAND

1962

PUBLISHED BY
THE ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT
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The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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under the symbol EDR(62)1

IRELAND

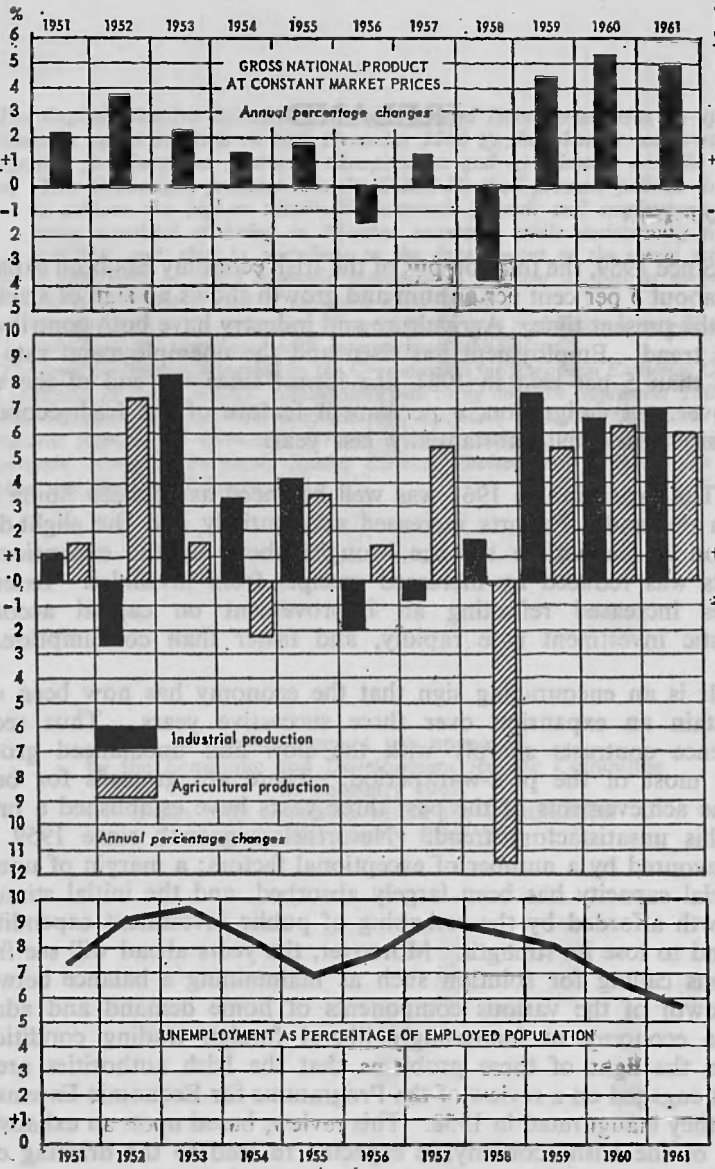
Introduction

1. Since 1959, the total output of the Irish economy has been expanding at about 5 per cent per annum and growth shows no sign of slackening at the present time. Agriculture and industry have both contributed to this trend. Employment has risen and the unemployment rate fell to less than 5 per cent in 1961, the lowest since the end of the war. Moreover, net emigration, a permanent feature of the Irish economy for many years, fell substantially last year.

2. The expansion in 1961 was well balanced as between home and foreign demand. Exports increased substantially and the slight deterioration in the visible balance brought about by the expansion of imports was reduced by increased receipts from invisibles. External reserves increased reflecting an improvement on capital account. Domestic investment rose rapidly, and faster than consumption.

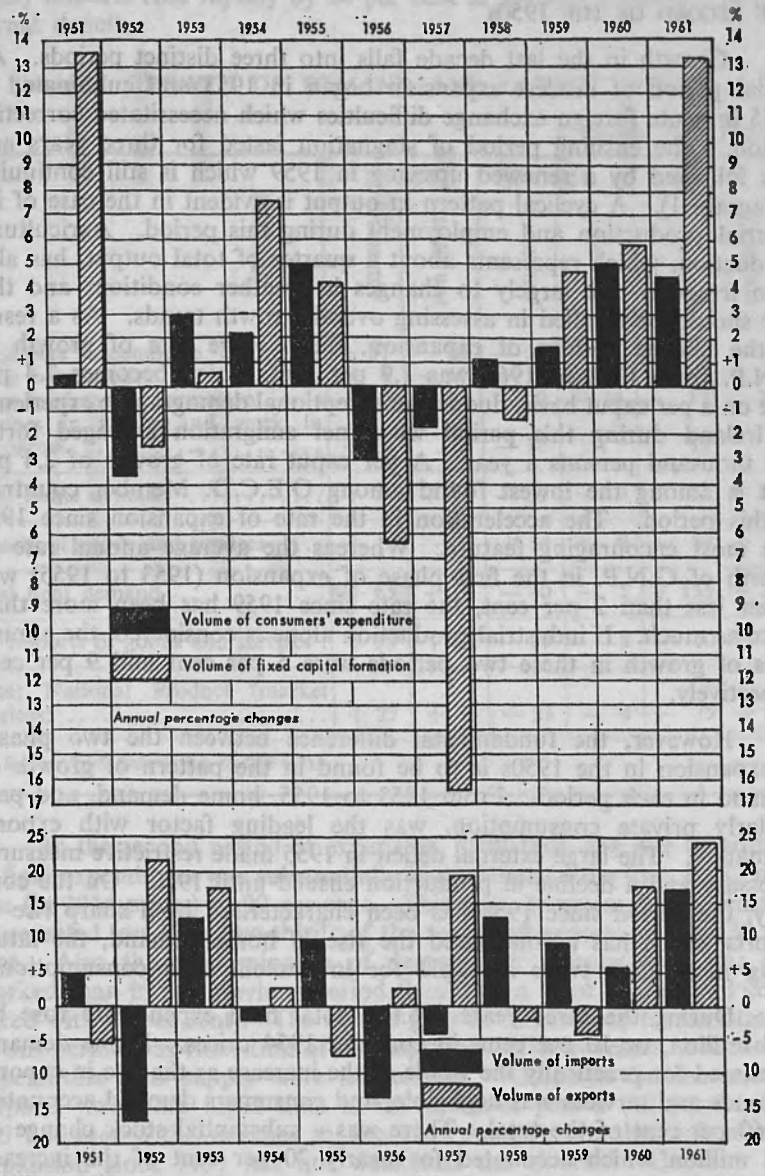
3. It is an encouraging sign that the economy has now been able to sustain an expansion over three successive years. Thus recent experience contrasts sharply with the slow and unbalanced growth during most of the post-war period. There are grounds for belief that the achievements of the past three years have established a break with this unsatisfactory trend. Nevertheless growth since 1959 has been favoured by a number of exceptional factors; a margin of unused industrial capacity has been largely absorbed, and the initial stimulus to growth afforded by the reshaping of public investment expenditure will tend to lose its strength. Moreover, the years ahead will see fresh problems calling for solution such as maintaining a balance between the growth of the various components of home demand and adapting the economy to increasingly liberal foreign trading conditions. It is in the light of these problems that the Irish authorities are at present engaged on a review of the Programme for Economic Expansion which they inaugurated in 1958. This review, based upon an exhaustive survey of the Irish economy, is expected to lead to the drafting of a comprehensive programme for economic development.

4. It seems, thus, an appropriate moment to review the record of the Irish economy during the 1950s highlighting the main factors which



Source: National Income and Expenditure 1960, Statistical Abstract, Irish Trade Journal and Economic Statistics Issued Prior to the Budget.

NOTE. Figures do not take account of latest revisions.


%
1951
1952
1953
1954
1955
1956
1957
1958
1959
1960
1961
Volume of consumers' expenditure
Volume of fixed capital formation
Annual percentage changes
Volume of imports
Volume of exports
Annual percentage changes

favoured growth over the recent past and identifying the major problems for policy which continued growth will pose.

THE RECORD OF THE 1950s

5. Growth in the last decade falls into three distinct periods. An initial period of modest expansion began in 1953 and culminated in 1955 in acute foreign exchange difficulties which necessitated corrective action. The ensuing period of stagnation lasted for three years and was followed by a renewed upswing in 1959 which is still continuing (Diagram 1). A cyclical pattern in output is evident in the case of industrial production and employment during this period. Agricultural production, which represents about a quarter of total output, has also been irregular due largely to changes in weather conditions and this fact should be recalled in assessing overall growth trends. As a result of the uneven pattern of expansion, the average rate of growth of G.N.P. from 1951 to 1961 was 1.9 per cent, which becomes 2.4 per cent on a per caput basis, due to the exceptional demographic experience of Ireland during this period when net emigration averaged forty-one thousand persons a year. A per caput rate of growth of 2.4 per cent is among the lowest found among O.E.C.D. Member countries in this period. The acceleration in the rate of expansion since 1959 is a most encouraging feature. Whereas the average annual rate of growth of G.N.P. in the first phase of expansion (1953 to 1955) was rather less than 2 per cent, the rate since 1959 has been more than twice as much. If industrial production alone is considered, the annual rates of growth in these two periods were 5 per cent and 9 per cent respectively.

6. However, the fundamental difference between the two phases of expansion in the 1950s is to be found in the pattern of growth of demand in each period. From 1953 to 1955, home demand, and particularly private consumption, was the leading factor with exports stagnating. The large external deficit in 1955 made restrictive measures necessary and a decline in production ensued until 1958. On the contrary, the period since 1958 has been characterised by a sharp rise in exports which has accompanied the rise in home demand, the latter being more than twice as rapid for investment than consumption.

7. During the three years 1953-55 total final expenditure rose by £ 64 million, or 10 per cent, in constant 1954 prices. Home demand accounted for practically the whole of the increase as the rise in exports of goods and services was negligible, and consumers demand accounted for 60 per cent of the total. There was a substantial stock change of £ 12 million which accounted for nearly 20 per cent of the increase in expenditure but fixed capital investment rose by only £ 10 million and absorbed only 15 per cent of the total. The increase in consumer demand, especially for durable goods, was particularly rapid in 1955, when it rose by 5 per cent as a result of higher wages and farm in-

comes and a very substantial expansion of bank credit. The growth of the domestic elements of final expenditure in the period 1953-55 was more than twice the rise in domestic supply (Table 1) and consequently imports rose rapidly by 20 per cent in volume, creating a large external deficit.

TABLE 1. GROWTH OF DEMAND AND OUTPUT, 1953-1961

£ million, 1954 prices.

	1953-55		1956-58		1959-61	
	£ MILLION	PER CENT	£ MILLION	PER CENT	£ MILLION	PER CENT
Consumers' expenditure	+ 37	+ 10	— 15	— 4	+ 46	+ 12
Public consumption	+ 6	+ 11	— 2	— 3	+ 6	+ 10
Gross fixed capital formation	+ 10	+ 12	— 20	— 24	+ 17	+ 25
Changes in stocks and work in progress	+ 12	..	— 16	..	+ 12	..
Total home demand	+ 64	+ 13	— 53	— 9	+ 81	+ 16
Exports of goods and services	+ 1	—	+ 14	+ 8	+ 58	+ 30
Total final demand	+ 65	+ 10	— 40	— 5	+ 139	+ 20
less Imports of goods and services	+ 38	+ 20	— 19	— 8	+ 60	+ 30
Gross National Product (market prices)	+ 27	+ 6	— 21	— 4	+ 79	+ 16

Source: Irish Submission to O.E.C.D.

8. In the second period of expansion, 1959-1961, the rate of growth of final expenditure was substantially higher than in the first, £ 139 million (in 1954 prices) or 20 per cent. This time, however, home demand represented less than two-thirds of the total and exports rose by 30 per cent. Also the predominance of demand for consumption was less marked than in the previous period (less than a third of the total compared with 60 per cent). The rate of growth of fixed capital investment in this period was twice that of consumption. The increases in domestic expenditure and supply were in balance. Although the increase in imports was more rapid than in the previous period (30 per cent) it did not exceed the increase in exports. As a result, the high rate of expansion since 1959 has not weakened the external balance.

9. The break in the trend of development as between the two halves of the last decade suggests two areas where an analysis of the causal factors at work making for such a break could yield useful conclusions

for economic policy in the future. They are the differences between the pattern of demand in the two periods of expansion and the change in the response from the supply side.

10. Total demand, both home and export, rose by an average of less than two per cent annually from 1950 to 1958 and, if the expansion period from 1953 to 1955 is considered separately, by only 3 per cent, this period being followed by three years during which there was a decline of over 2 per cent annually. As, during most of the decade, unemployment remained at about 8 per cent of the employed population and 412,000 persons emigrated, there was evidently a notable under-employment of the available supply of labour. The atmosphere of pessimism created by these unfavourable demographic trends and the shrinking home markets they implied were not conducive to an expansion of investment activity.

11. However, although demand was inadequate for growth during most of the 1950s, the consequences of the expansion that did take place between 1953 and 1955 made it clear that a faster rate of increase in demand could not have been sustained at that time, because of its impact on the balance of payments. By 1955 the rise in consumption could not be met by home production and was leading to a rapid increase in imports of consumer goods which rose by 17 per cent in that year. Irish industry responded to the rise in demand, particularly textiles and metal goods, and industrial production rose by 8 per cent in the twelve months from the end of 1954 to the end of 1955, but was unable to satisfy it entirely either quantitatively or qualitatively.

12. If export demand had risen *pari passu* with demand for imports, instead of falling in 1955, economic expansion could have continued without restrictive measures being called for. But the failure of exports to rise was linked to the structure of the Irish economy. The fall in exports in 1955 was due to reduced sales of agricultural products. Industrial exports, on the other hand, rose substantially (Table 2) but they represented at that time only 20 per cent of total exports, and, more important, the industrial basis for a sustained rise in such exports had not yet been created. Thus the heavy dependence on agricultural exports and the irregular trend of those made it very difficult to secure a continuous process of economic development, without fundamental structural changes in the pattern of production. These changes have been inaugurated in the subsequent years, and they led to the expansion of non-agricultural exports which helped to maintain external balance in the 1959-1961 period, despite rapidly rising imports.

13. A major structural weakness in the Irish economy in the post-war period has been the low level of capital formation. The ratio of gross fixed capital formation over the whole post-war period has been only 14 per cent, a much lower percentage than in the rest of Western Europe. Also, the annual increments to the stock of capital have been

TABLE 2. DOMESTIC EXPORTS 1952-1961

£ *million.*

	1952	1953	1954	1955	1956	1957	1958	1959	1960	JAN. OCT. 1960	JAN. OCT. 1961
Agricultural products[1]	83.2	92.5	88.6	79.3	77.6	94.3	93.0	82.8	95.9	77.9	98.9
Non agricultural materials and manufactures	13.0	14.9	18.4	22.3	21.9	26.1	27.1	35.4	43.6	36.3	38.6
Total[2]	99.2	111.5	111.8	107.2	104.3	127.0	126.1	126.7	147.8	123.8	145.8

1. Including drink.
2. Including parcel post and special transactions, but excluding re-exports.
Source: Trade Statistics of Ireland.

TABLE 3. GROSS FIXED CAPITAL FORMATION 1953-1960

£ *million at 1953 prices.*

	1952	1953	1954	1955	1956	1957	1958	1959	1960
Housing	18.8	16.3	15.2	15.8	15.9	10.5	8.6	9.3	11
Other building and construction	31.7	32.9	36.6	40.3	36.7	31.6	27.9	30.0	31
Agricultural machinery		4.4	5.5	4.4	2.5	3.6	3.6	3.5	3
Other machinery and equipment	27.7	18.2	17.3	18.1	15.7	13.3	15.9	16.8	20
Transport equipment		7.7	10.9	10.5	12.6	10.6	12.6	12.2	11
Total	78.2	79.5	85.5	89.1	83.4	69.6	68.6	71.8	76

Source: National Income and Expenditure 1960.

highly erratic (Table 3). As a result, technical innovation and productivity increases have been inhibited. By 1960 the volume of gross capital formation was still 15 per cent lower than the previous all-time peak in 1955 but the latter was almost regained in 1961 as a result of the substantial rise in investment which took place in that year. After 1955, as a result of the restriction of demand and a tapering-off in social investment, investment fell during three successive years reaching its low point in 1958.

14. Not only has the supply of capital fluctuated notably around a too low level but the structure of investment was ill adapted to growth during most of the last decade. In the early 1950s, housing absorbed nearly a quarter of gross fixed investment expenditure and housing and other building and construction together more than one-half of the total. Although these percentages are not very different from those found in the rest of Western Europe it should be recalled that Ireland's population was declining and that there was no reconstruction problem similar to the one many other countries had to solve. As about one-half of gross fixed investment is financed by the public sector, and a much higher percentage of housing and construction work, this pattern of investment was largely the result of public policy. But, after 1956, the volume of these two categories of investment began to decline as a number of programmes for public expenditure of a social character neared completion. By 1958, housing expenditure was only a little more than one-half its level in 1956 and other building and construction had fallen by over a quarter. There was no compensatory rise in more directly productive investment in machinery and transport equipment whose level in 1958 was lower than three years earlier.

15. By 1958, therefore, fixed capital investment had fallen to only 13 per cent of G.N.P., a level manifestly incompatible with sustained and rapid growth. About the same time, the results of the 1956 population census revealed that emigration had been heavier between 1951-56 than from 1946 to 1951, with a net outward movement of 43,100 persons annually, or 1.5 per cent of the population. A continuation of these trends would have constituted a threat to the national economy. Preoccupations of this kind led the authorities to draft a Programme for Economic Expansion in 1958 [1]. One of the basic policy measures in the Programme was the decision to profit from the decline in public investment for social purposes to expand expenditure on productive investment.

16. As a result of this policy, the distribution of public capital expenditure has changed notably (Table 4) [2]. In the fiscal year 1961-

1. This Programme was analysed at length in the Annual Country Chapter on Ireland published in 1960.

2. For conceptual reasons, there is no exact correspondence between these data and those relating to fixed capital expenditure in the national accounts in Table 2.

62, investment in housing, schools, hospitals etc. was estimated to absorb 26 per cent of the total compared with nearly 40 per cent in 1956-57. Directly productive investment, which by 1958-59 had remained unchanged for several years, rose by nearly one-half in the three following years and the amounts devoted to agriculture and industry both doubled.

TABLE 4. PUBLIC CAPITAL PROGRAMME, 1956-57 TO 1961-62

FISCAL YEAR, APRIL TO MARCH

£ *million.*

	1956-57	1957-58	1958-59	1959-60	1960-61	1961-62 (EST.)
Housing, schools, hospitals and other buildings	17.9	16.6	10.2	11.4	12.5	14.4
of which: housing	11.7	10.8	6.5	7.8	8.8	9.6
Other	27.8	24.5	27.7	32.5	38.1	40.9
of which:						
agriculture	5.0	4.4	6.1	11.8	11.4	12.5
fuel and power	11.3	8.7	7.6	7.5	7.4	8.3
industry	0.3	—	3.4	3.2	4.2	6.4
Total	45.7	41.2	37.9	43.9	50.6	55.3

Source: Tables in connection with the Financial Statement, 1961.

17. This process of reshaping public investment expenditure has influenced the growth of output in both agriculture and industry. In agriculture the largest item of expenditure has been for the speeding up of the campaign to eliminate bovine tuberculosis. The fact that the United Kingdom, which absorbs practically all of Ireland's exports of live cattle, was well advanced with its tuberculosis clearance programme by the mid-1950s whereas Ireland's programme covered only a fraction of the country at that time, constituted a threat to the future of exports of Irish store cattle. This was averted temporarily by an agreement in April 1960 by which the British authorities continued to allow, subject to annual review, the entry of once-tested Irish store cattle into Great Britain for a period of five years. Since 1958, however, a vigorous campaign for the elimination of bovine tuberculosis has been undertaken, financed by the Government. At the same time, under a system of grants and subsidies, farmers were encouraged to improve the quality of pastures through liming and fertilizing and to raise the standards of farm buildings. This policy has yielded striking results. It is expected that by the end of 1962 an area containing two-thirds of Ireland's cattle will have been cleared of bovine tuberculosis, while the proportion of fully attested store cattle exported to Great Britain increased from 15 per cent in 1960 to 75 per cent in 1961. Despite herd replacement difficulties arising from the slaughter of breed-

ing stock under the eradication programme, the numbers of cattle on farms have begun to move upwards in recent years from 4.4 million in the early fifties to 4.7 million in 1960-61. For the same period sheep numbers have increased from under 3 million to 4.5 million and pig numbers have also increased. This has made possible an increase in exports of cattle, sheep and meat.

18. Public investment in industry, through the operations of a number of State-owned companies, in such sectors as steel, turf production and transport, has also provided a stimulus to expansion of production capacity. Steel production increased from 27,000 tons in 1957-58 to 38,000 tons in 1960-61; the output of turf which amounted to 1,470,000 tons in 1957-58 is estimated at just 2 million tons for 1961-62; and the transport system is in the process of reorganisation. As regards private industry the system of grants to assist industrial development in the Development Areas of Western Ireland, established in 1952, was extended in 1956 with some modification to the rest of Ireland, and from 1958 a ten-year period of tax exemption has been granted on profits earned on new exports, with an additional tapering-off period of five years. In the Shannon Airport free trade zone tax exemption lasts until 1983. These facilities are available to Irish and foreign firms alike, but industries with foreign participation appear to have benefited most from them until now. In the past five years over a hundred new manufacturing concerns with foreign participation have been set up in Ireland.

TABLE 5. EMPLOYMENT

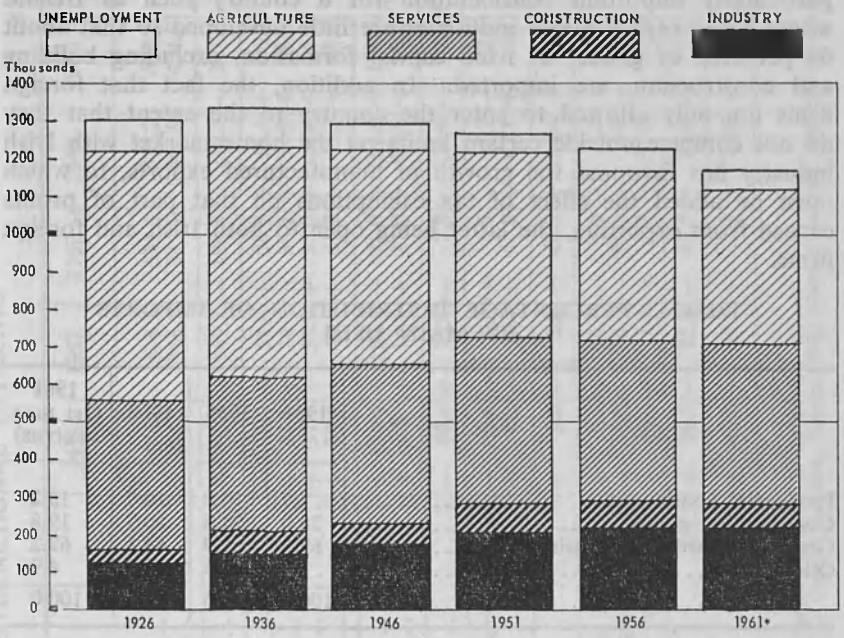
Thousands.

	1946	1951	1955	1958	1960	1961 (EST.)
Manufacturing	153	184	191	183	190	197
Mining	16	10	12	12	12	13
Construction	53	85	83	65	63	66
Other non-agricultural activities	439	445	440	432	434	436
Agriculture	567	496	455	429	413	410
Total	1,228	1,220	1,181	1,121	1,112	1,122

Source: Economic Statistics.

19. By 1961, the number of workers in manufacturing surpassed the previous peak in 1955 so that the decline due to the three years of depression after 1955 had been more than made good (Table 5). The re-distribution of the labour force according to occupational groups in the last decade has not yet been considerable. The share of agriculture has fallen by about 4 per cent to 37 per cent and construction activity has declined largely as a result of the changes just described in public investment policy following the overtaking of

Diagram 2. CHANGES IN THE STRUCTURE OF THE LABOUR FORCE, 1926-61



* Estimate.

Source : Statistical Abstract and Economic Statistics Issued Prior to the Budget.

arrears in the construction of houses, hospitals, etc. The share of manufacturing industry is still low and rose by only 3 per cent to 18 per cent in the last ten years.

20. The incentives for industrial development provided by the State, the enactment of the Industrial Development (Encouragement of External Investment) Act, 1958, the object of which is to encourage and facilitate external capital investment in the establishment of industrial undertakings in Ireland aimed at the development of exports, and the promotion of a campaign to attract industrial investment from other countries, have not only raised the supply of capital but have been instrumental also in providing a new and growing stream of exports of manufactured products. Direct capital investment in Ireland by foreign firms was comparatively small until recent years, but since 1959, however, there has been a considerable change in this respect. Balance of payments data on direct investment receipts are not available, but grant-aided investment, which covers probably at least two-thirds of new productive private investment outside of agriculture includes substantial foreign participation. This influx of capital, which may have reached £ 10 million per annum in recent years, has

the added advantage that it finances at the same time the imports of capital equipment required for the investment projects. This is a particularly important consideration for a country such as Ireland where home capital goods industries are little developed so that about 60 per cent of goods for fixed capital formation, excluding building and construction, are imported. In addition, the fact that foreign firms are only allowed to enter the country to the extent that they do not compete outside certain limits on the home market with Irish industry has favoured the growth of manufactured exports, to which must be added the effect of tax exemptions on that part of profits earned from exporting, the latter being open to both Irish and foreign firms.

TABLE 6. PERCENTAGE DISTRIBUTION OF IMPORTS BY MAIN USES

	1951	1955	1960	1961 (1st NINE MONTHS)
Producers' goods	7.7	10.0	10.7	13.2
Consumption goods	28.0	24.8	20.5	19.8
Goods for further processing	62.9	61.9	64.1	62.2
Other	1.4	3.3	4.6	4.9
Total	100.0	100.0	100.0	100.0

21. In sum, the role of structural changes operating from the supply side in making possible the recent phase of growth has been considerable. The initial impetus to growth given through the re-allocation of public investment funds, the acceleration of agricultural development and the expansion of manufacturing industry firmly based upon export markets were preconditions for stable and more rapid growth, which in the circumstances of the Irish economy, could only be brought about through public policy decisions. The role of expanding markets, particularly abroad, has been a necessary complement to the latter but would have been insufficient alone. The real significance of the growth of demand at a more rapid and steady rate than at any time in the post-war period is that it has contributed to the creation of confidence in Ireland in the economic future of the country. It remains, however, that the period ahead will raise fresh problems for economic policy which will call for solutions. These will be examined in the final section of this report.

CONCLUSIONS

22. In the long run, industrialisation offers the only means of arresting the decline of the population. So far, in the post-war period, the loss of population through emigration has exceeded the natural increase so that the population has fallen by 0.3 per cent annually.

Table 7. BALANCE OF INTERNATIONAL PAYMENTS

$ million.

	1956	1957	1958	1959	1960	1961 (EST.)
Imports (c.i.f.) [1]	494.8	495.3	531.9	573.2	612.6	710.9
Exports (f.o.b.) [1]	286.4	346.2	341.1	342.9	404.9	482.5
Trade balance	— 208.4	— 149.2	— 190.8	— 230.3	— 207.7	— 228.4
Tourism, travel, etc.	+ 58.0	+ 51.8	+ 58.2	+ 69.4	+ 76.2	
Investment	+ 28.5	+ 34.7	+ 38.1	+ 31.9	+ 38.6	
Emigrants' remittances and legacies	+ 31.6	+ 33.9	+ 33.7	+ 34.4	+ 36.3	
Other invisible items	+ 38.4	+ 40.1	+ 41.0	+ 45.3	+ 48.1	
Invisibles	+ 156.5	+ 160.4	+ 171.0	+ 181.0	+ 199.2	+(214)
Errors and omissions [2]	+ 11.5	+ 14.5	+ 17.0	+ 24.9	+ 6.2	
Balance of current transactions [2]	— 40.4	+ 25.7	— 2.8	— 24.4	— 2.3	(— 14)
Government capital transactions (other than changes in Departmental Funds)	— 0.6	— 6.3	— 1.5	— 5.7	— 2.3	
Other capital transactions [3]	+ 4.2	+ 3.4	+ 49.8	+ 42.1	+ 4.8	
Total, capital transactions	+ 3.6	— 2.9	+ 48.3	+ 36.4	+ 2.5	
Changes in external funds of the Central Bank (+ = drawing on holdings)	+ 8.1	— 24.1	— 4.0	+ 1.6	— 6.9	
Changes in net external assets of the commercial banks (+ = drawing on holdings)	— 7.5	— 6.0	— 40.3	+ 4.0	— 0.3	
Changes in holdings of Departmental Funds (+ = drawing on holdings)	+ 36.2	+ 7.3	— 1.2	— 17.6	+ 7.0	
Changes in total external assets	+ 36.8	— 22.8	— 45.5	— 12.0	— 0.2	
Balance of capital transactions and monetary movements	+ 40.4	— 25.7	+ 2.7	+ 24.4	+ 2.3	

1. As adjusted for balance of international payments purposes.
2. Errors and omissions are believed to be current in character and are therefore included in the current account. The current balance therefore differs from that published in the O.E.E.C. General Statistics, January, 1961, where errors and omissions are excluded.
3. Including foreign subscriptions to Irish Government issues.

Source: Irish Trade Journal and Statistical Bulletin.

During the most recent intercensal period (1956-61) net emigration reached 216,000 and led to a 3 per cent decline in the population despite the rise in job opportunities since 1958. However, in 1961, jobs were being created outside agriculture — most of them in manufacturing — at a rate of about 13,000 a year, or 10,000 more than the estimated decline in the agricultural population. As a result, net emigration fell to 25,000, or a figure equal to the natural increase in the population. If the number of new jobs created can be maintained at about this rate, Ireland can look forward to a rising population.

23. The progress achieved over the last three years has been substantial and has helped to lay the basis for a steadier growth in the future. But considerable problems remain, and their solution is made more difficult by the marked dependence of the Irish economy upon the outside world; exports and imports of goods and services represent 75 per cent of G.N.P. compared with only 45 per cent for European O.E.C.D. countries as a whole.

24. The structure of the economy appears to be basically favourable to growth. Ireland is one of the rare countries in Western Europe to have a surplus of manpower at the present time. Yet in other respects the country is on a par with economies whose degree of development is more advanced, notably as regards educational standards, public and private attitudes to social and economic problems and the existence of an extensive infrastructure. The country is, furthermore, well placed geographically to serve the major European and North American markets. Climatic and soil conditions have orientated agriculture towards cattle raising for meat production, a product for which demand prospects are good in the main markets for Irish cattle products. The extent to which Ireland has been able to attract foreign capital and to increase exports of agricultural and, in particular, industrial products in recent years, attests the importance of these factors. It remains, however, that the problem of achieving an adequate rate of investment will become more urgent from now on, and that further structural changes in industry and agriculture are called for.

25. Despite the rise in investment in the last years of the 1950s, private consumption still absorbed 75 per cent of G.N.P. in 1960 whereas investment accounted for only 13 per cent, a percentage even lower than in 1950 when it was nearly 16 per cent; the corresponding averages for the European O.E.C.D. area are 63 and 20 per cent respectively. Thus, the change made in investment in recent years has constituted a redistribution of types of capital expenditures within a declining total share; consumption expenditure, on the other hand, has increased its share even further. This picture is not changed if investment in plant and equipment is considered by itself; as by 1960 this type of expenditure had only just returned to the peak level reached in 1954. However, there was no doubt a further big rise in this type of investment in 1961.

26. In view of the persistently low level of investment over the last decade the growth of the economy in recent years has occurred in highly favourable conditions of an extremely low capital — output ratio. The fact that there was a considerable degree of slack in industry by the end of the 1950s, and the existence of a basic infrastructure which was incompletely used, go a long way to explain this trend. It is unlikely that the recent productivity gains in industry — 5 per cent annually — can be maintained for long without a sharp rise in capital formation. In agriculture, where under-employment was considerable, the fall in numbers in recent years has led to a rise in productivity somewhat higher than in industry; but signs such as the inadequate liming of pastureland, with which the Government is now taking measures to deal, suggest that productivity gains in agriculture will also depend increasingly in the future upon a higher level of investment.

27. A significant increase in the investment ratio is a complex procedure and can only be achieved gradually. It implies that the growth of consumption should be limited and that the potential resources thus freed are effectively directed towards productive investment. This raises problems as regards income distribution, the stimulus to investment and its allocation between sectors, and the effects of growth on the balance of payments.

28. The problem of regulating the rise in incomes to leave room for an expansion of investment will concern primarily non-agricultural incomes. The importance of incomes from agriculture has been declining over the past decade, following the relative decline in agricultural population and the deterioration in the terms of trade between agriculture and industry. This situation is being redressed, however, by the increased level of state assistance to agriculture, but every effort should be made to ensure that higher agricultural incomes lead to a higher savings ratio and, at the same time, to increased investment in agriculture. As regards non-agricultural incomes, the authorities have already approached employers and trade union representatives on the whole question of securing their participation in a national development policy of which it is clear that an income policy forms a necessary part. There are indications of more orderly regulation of wage claims, independently of Government action, by the employers and trade unions themselves. As well as encouraging a higher level of savings among wage and salary earners policy will have to take account as well of the need to keep the level of Irish prices competitive. Irish experience has been relatively successful in this field as, although there appears to be a parallel between the rate of increase in earnings in Ireland and the United Kingdom — the absolute level being lower in Ireland — due to the existence of freedom of movement for Irish workers between the two countries, productivity in industry in Ireland has been expanding in recent years at about 5 per cent a year, that is rapidly enough to practically absorb wage increases so far. Experience

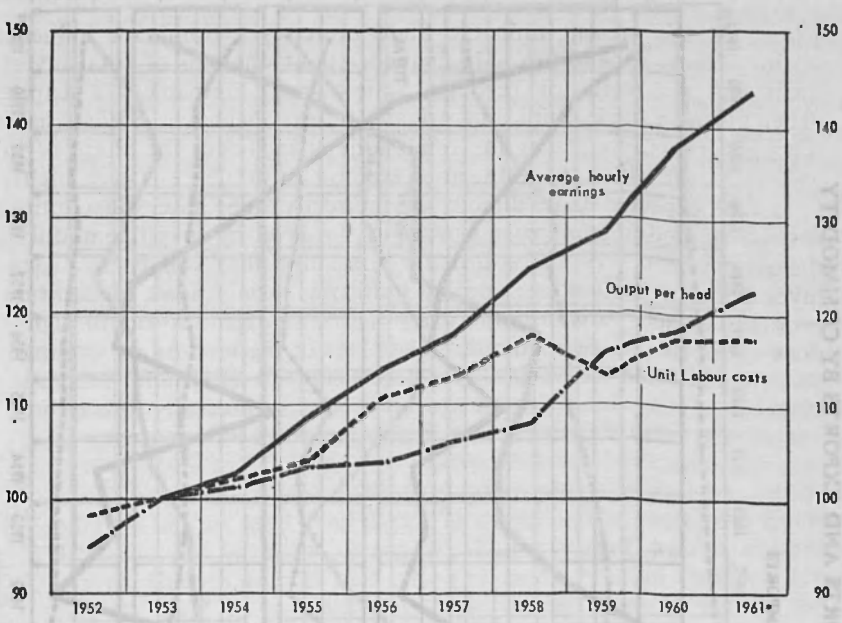
in this field in 1955, however, showed that the situation can get out of hand very quickly and wage and salary developments in 1962, now that a new wage round is underway, will have to be watched carefully.

29. At the present time the State exercises a dominant influence on investment expenditure. It finances about one-half of total investment either directly or through State-owned companies; if capital expenditure in agriculture and private industry which is State-assisted through grants, credits or tax remissions is included, the share of investment over which the authorities exercise an influence is even higher. It can be expected that, directly or indirectly, the State will continue to play a predominant role in raising the level of investment during the years ahead. A major task for the authorities will be to expand investment in agriculture and in industries using home agricultural products, where private initiative — either indigenous or foreign — does not appear to be adequate. The plans of the Irish Sugar Company — a State-owned concern — for developing freezing and processing plants for a variety of agricultural products illustrate this trend.

30. It is encouraging to note the favourable response of private industry to these various incentives to investment provided by the State. Moreover, the increase in foreign direct investment is a particularly important factor making for a diversification and strengthening of the industrial base of the Irish economy. However, given the increase in productive investment which, it has been seen, is required for sustaining the present rate of growth, the question of financing Irish industry will call for some consideration. The fact that so many Irish firms are small family businesses, although this may facilitate self-financing out of profits, limits recourse to outside financial resources which an increase in the size of business units would make necessary. The capital issues by small enterprises raise in most countries a difficult problem of adaptation. Also the family structure of Irish firms tends to encourage the issue of preference shares or debentures rather than equity capital. At the present time the number of companies in Ireland quoted on the Stock Exchange is rather low (about 150) and the annual value of share and debenture issues is not high (under £ 1 ½ million a year during the last two years). The major part of subscriptions to issues of marketable securities is channelled, in the first instance, through the State (the last annual National Loan in 1961 raised £ 17 ½ million and was heavily over-subscribed), although it should be borne in mind that, as was pointed out in the preceding paragraph, the State is a far from negligible source of funds for the private sector, notably through the Industrial Credit Company. Furthermore, it may be that the fact that Irish citizens can invest as easily in United Kingdom where the choice of portfolio investment is much greater, has tended in the past to inhibit the growth of Stock Exchange financing by Irish industry. Higher investment by Irish owned companies may call for measures facilitating the transfer of savings from private individuals or financial organisations to private industry.

Diagram 3. TRANSPORTABLE GOODS INDUSTRIES : PRODUCTIVITY, EARNINGS AND UNIT LABOUR COSTS

1953 = 100



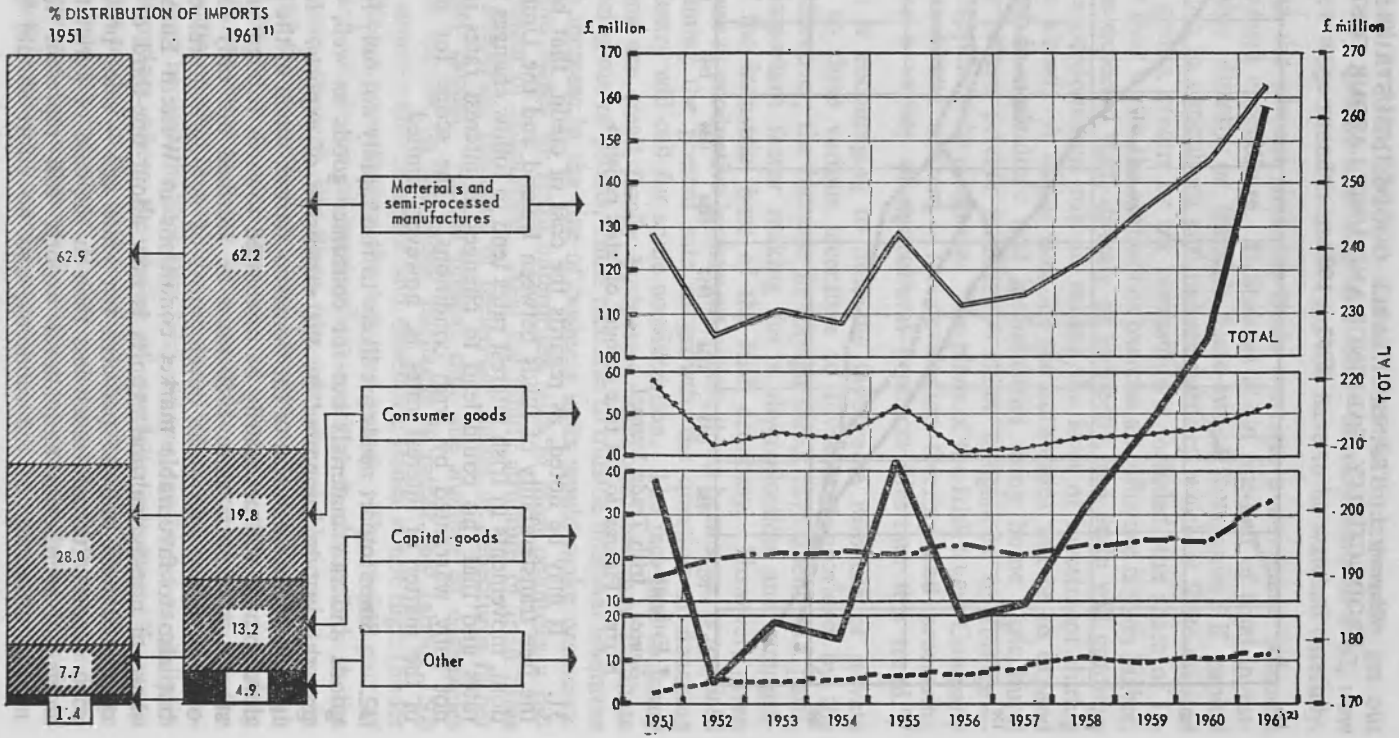
* Estimate.
Source : Irish Trade Journal.
NOTE. Figures do not take account of latest revision.

31. It may be noted, as regards the cost of credit, that because of the free transferability of funds between Ireland and the United Kingdom, movements in Irish interest rates tend to follow changes in British rates and that this could lead to changes in interest rates in Ireland not fully warranted by Irish conditions. The scope for manœuvre in the matter of interest rates is, however, limited.

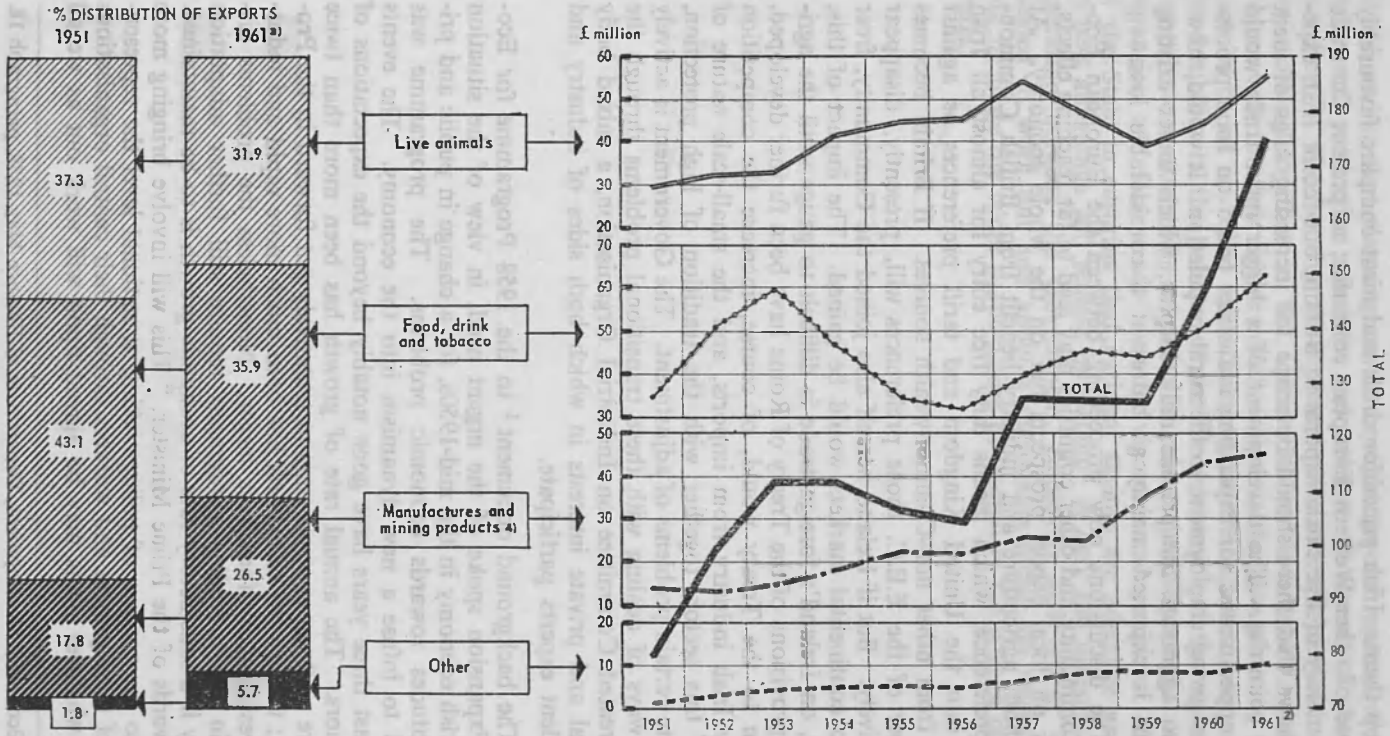
32. Since import needs are likely to rise rapidly not only for capital goods and raw materials but for consumer goods as well, economic growth must be supported by the expansion of exports. Moreover, in view of the small size of the domestic market, much of the industrial development will necessarily be orientated towards foreign sales. The success of exports since 1959 must be ascribed not only to changes on the supply side — the development of non-agricultural exports — but also to favourable market conditions in Western Europe. The share of non-agricultural exports is now about one-third of the total compared with only 15 per cent ten years ago — sales prospects for such exports fluctuate much less than in the case of agricultural products. Nevertheless agricultural exports still represent the major natural advantage of the economy, and no effort should be spared

Diagram 4. DISTRIBUTION OF IMPORTS AND EXPORTS BY COMMODITY

a) IMPORTS



b) EXPORTS



1. First half year.
2. Estimate.
3. First ten months.
4. Including peat.

Source: Statistical Abstract and Irish Trade Journal.

to develop them. Irish prices for cattle and meat compare favourably with those of other Western European countries; at present the trade consists mainly of live cattle exports to Britain, but recent Irish experience shows that there should be scope for increasing sales of meat in other countries. The development of a bigger meat trade would provide opportunities for expanding industries based on food processing, thus giving employment to the rural population. It would, however, also aggravate the present milk surplus, which under existing conditions is exported mainly as butter at a considerable loss.

33. The discussions now proceeding between the European Economic Community and other countries may lead to far reaching effects, not only on local export prospects but on the whole economy. At present both agriculture and industry benefit from British Commonwealth preference, which means duty free entry for almost all Irish exports into the United Kingdom and tariff preferences as against imports from other non-Commonwealth sources. If Britain becomes a member of the E.E.C. those preferences will, presently, disappear progressively. But if Ireland herself also joined the Community, freer access to continental markets would be gained. The impact of this, however, on Ireland's foreign trade is difficult to gauge until the agricultural provisions of the Treaty of Rome have been further developed. Adhesion to the Treaty would, of course, increase the competition faced by Irish industry from imports, and the small-scale nature of most of this sector, together with the tradition of high protection, will create certain problems of adjustment. The Government is actively seeking ways of dealing with these transitional problems through the newly created Committee on Industrial Organisation, a mixed body of official and private interests in which both sides of industry and independent experts participate.

34. The background document[1] to the 1958 Programme for Economic Expansion spoke of the urgent need, in view of the situation of the Irish economy in the mid-1950s, for a change in public and private attitudes towards economic problems. The programme was intended to infuse a new dynamism into the economy. The events of the last three years have gone notably beyond the expectations of the authors. The annual rate of growth has been more than twice the figure of 2 per cent per annum tentatively put forward in the Programme; the growth of exports has been much more rapid and industrial investment by foreigners larger. Nonetheless the problems discussed in the preceding paragraphs require still further adaptation of policy if a satisfactory rate of economic growth is to be maintained. In the words of the Prime Minister, " This will involve bringing more fully into the process of policy-making at national level the representatives of management and workers through their central organisations so that whatever plans may be agreed upon will work out as we all

1. Economic Development, Department of Finance May 1958, paragraph 18.

desire, and so that planning can be brought beyond matters of organisation and production schedules and embrace all aspects of the national effort". The fact that the representatives of employers and workers are working together in the Committee on Industrial Organisation augurs well for their future collaboration in the new planning mechanism to be set up. The open character of the Irish economy will call for flexibility in the policies of the Government and the attitudes of the private sector. The response of private industry to the need for expansion and freer trade must be vigorous and positive. The role of the State in ensuring that national savings are adequate and used to best advantage will remain important. A very full measure of co-operation between the Government, employers and labour will be needed to work out and apply a reasonable policy on wages which will facilitate the wider participation of Ireland in the growth of world trade.

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STATISTICAL ANNEX

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Table I. EXPENDITURE ON GROSS NATIONAL PRODUCT

£ million at constant (1954) prices.

	1953	1954	1955	1956	1957	1958	1959	1960	1961
1. Consumers' expenditure	384.2	391.3	410.1	397.2	390.3	394.9	401.3	422	441
2. Public authorities' current expenditure	62.2	63.9	63.9	65.1	62.0	62.0	64.2	67	68
3. Gross fixed capital formation	78.6	84.5	88.0	82.4	68.8	67.9	71.0	75	85
of which: private	66.1	71.3	74.0	69.3	58.6	57.8	59.8	65	..
public	12.5	13.2	14.0	13.1	10.2	10.1	11.2	10	..
4. Increase in stocks and work in progress	+6.4	—5.4	+9.0	—7.8	—5.7	—7.2	+20.4	+8	+5
5. Exports of goods and services [1]	185.8	186.4	181.0	180.6	198.5	194.8	198.1	223	253
6. Total use of resources	717.2	720.7	752.0	717.5	713.9	712.4	755.0	795	852
7. *Less:* Imports of goods and services [1]	206.2	202.5	225.0	197.7	187.5	206.1	226.2	238	267
8. Gross national product	511.0	518.2	527.0	519.8	526.4	506.3	528.8	557	585

1. Including income payments to and from rest of world.

Source: Irish submission to O.E.C.D.

Table II. OUTPUT, EMPLOYMENT AND OTHER BUSINESS INDICATORS

	1957	1958	1959	1960	1961	1960 1st QTR	1960 2nd QTR	1960 3rd QTR	1960 4th QTR	1961 1st QTR	1961 2nd QTR	1961 3rd QTR	1961 4th QTR
1. Agricultural output *(1953 = 100)*	110.1	97.5	103.1	106.9									
of which:													
2. Livestock and livestock products *(1953 = 100)*	110.3	106.4	108.0	110.2									
3. Crops *(1953 = 100)*	113.8	86.2	108.8	116.0									
4. Cattle numbers [1] *(Thousands)*	4,417	4,466	4,684	4,741	4,713								
5. Industrial production (transportable goods) *(1953 = 100)*	104.5	106.5	117.3	125.5		117.6	130.1	124.6	129.5	127.7	142.9	135.4	
of which:													
6. Mining, quarrying and turf production *(1953 = 100)*	150.7	114.9	178.7	169.3		125.5	280.2	170.6	100.9	131.7	305.3	223.4	
Manufacturing *(1953 = 100)*	102.5	105.8	114.4	123.4		117.1	123.5	122.4	130.5	127.3	135.7	131.4	
7. Electricity output *(million K.W.H. monthly average)*	142.7	154.8	168.2	186.5		216.1	156.6	154.6	219.4	222.6	169.2	163.6	
8. New residential construction (number of new houses built under State-aided schemes) *number (monthly)*	670	411	455	435		425	421	427	468	469	402	402	
9. Total employed population [2] *(thousands)*	1,136	1,121	1,112	1,112									
10. Workers engaged in agriculture, forestry and fishing [2] *(thousands)*	433	429	420	413									
11. Workers engaged in transportable goods industries [3] *(thousands)*	149.9	150.3	153.3	158.8		155.5	158.9	158.9	162.1	161.6	165.5	166.6	
12. Unemployment (registered) *(thousands)*	69.5	64.8	60.5	52.7	46.8	65.2	41.8	38.6	58.1	53.8	38.2	35.9	54.6
13. Unemployment as percentage of insured labour force *(per cent)*	9.2	8.6	8.0	6.7	5.7	8.2	5.9	5.1	5.9	6.4	5.3	4.7	
14. Average hours worked per week in transportable goods industries [4] *(number)*	44.8	45.1	45.3	45.0		44.4	44.9	45.0	45.6	44.7	44.9	44.6	
15. New private cars, registered for first time *(thousands quarterly totals or averages)*	3.4	4.8	5.7	7.0		7.9	8.3	6.8	5.0	7.3	8.8	6.7	

1. As of 1st June.
2. Figures are for early April.
3. Quarterly and annual averages.
4. Annual figures for 1957-1959 are for October, and for 1960 for September; quarterly figures relate to March, June, September and December.

Source: Irish Trade Journal, Economic Statistics issued prior to the Budget, Monthly Economic Series.

Table III. PRICES AND WAGES

	1957	1958	1959	1960	1961	1960 1st QTR	1960 2nd QTR	1960 3rd QTR	1960 4th QTR	1961 1st QTR	1961 2nd QTR	1961 3rd QTR	1961 4th QTR
1. Consumer prices [1] *(mid-August 1953 = 100)*	111.5	116.5	116.5	117.0		115.4	117.2	117.2	118.1	118.9	120.3	120.5	121.1
2. Of which, food prices [1] *(mid-August 1953 = 100)*	109.2	118.6	118.1	116.5	120.6	114.2	117.1	116.6	118.0	119.8	121.7	120.3	120.5
3. Wholesale prices [1] *(1953 = 100)*	109.9	113.5	113.5	112.9		112.6	113.4	112.7	112.4	113.7	114.4	114.3	
4. Agricultural prices [1] *(1953 = 100)*	99.8	102.5	102.4	99.6		102.0	101.4	96.4	100.5	101.7	100.6	96.9	102.1
5. Store cattle prices (1-2 years olds) *(Average monthly prices at fairs, £ per head)*	35.7	42.4	41.1	34.8		37.0	35.5	34.2	32.2	35.0	36.5	36.9	36.7
6. Industrial prices [1] *(1953 = 100)*	108.7	112.3	112.8	114.4		113.3	114.6	114.8	115.1	115.2	115.8		
7. Average hourly earnings in transportable goods industries [2] *(1953 = 100)*	117.7	124.8	128.4	137.3		133.9	137.3	137.3	140.0	140.2	143.3	145.4	
8. Hourly wage rates in agriculture *(1953 = 100)*	118.7	118.7	126.1	131.0		131.0	..	..	..	134.7	..		

1. Quarterly figures for February, May, August and November.
2. Annual figures for September; others for March, June, September and December.

Source: Irish Trade Journal and Statistical Bulletin.

TABLE IV. MONEY AND BANKING

	1957	1958	1959	1960	1961	1960 1st QTR	1960 2nd QTR	1960 3rd QTR	1960 4th QTR	1961 1st QTR	1961 2nd QTR	1961 3rd QTR	1961 4th QTR
1. Currency circulation [1] *(£ thousand average of Saturdays)*	78,350	80,499	79,868	79,132	84,040	79,132	78,775	80,276	84,560	84,040	82,881	85,284	90,197
2. Discount rate of Central Bank [2] *(per cent)*	6	4 1/4	4 1/4	4 5/8	5 9/16	4 3/4	5 1/2	5 1/2	4 5/8	4 3/4	4 5/8	6 3/4	5 9/16
3. Price of 3.50 per cent Exchequer Bonds [3] *(per £ 100 stock)*	81.0	81.9	86.6	85.1		86.8	86.9	84.0	83.4	82.9	84.1	81.9	82.4
4. Price index number of ordinary stocks and shares *(1953 = 100)*	94.7	94.5	125.5	157.9		148.7	154.1	159.8	169.0	173.0	191.3	191.4	192.3
COMMERCIAL BANKS [2]:													
5. Current accounts *(£ million)*	116.3	124.5	129.3	138.6	147.9	121.3	135.7	127.7	138.6	127.1	139.6	135.4	148.0
6. Deposit accounts *(£ million)*	190.2	197.8	201.9	210.7	226.2	206.3	205.2	209.3	210.7	216.3	216.4	222.6	226.2
7. Bills *(£ million)*	16.0	9.4	6.4	6.7	13.8	6.7	9.9	11.7	6.7	6.8	13.6	11.2	13.8
8. Loans and advances *(£ million)*	152.4	156.1	171.9	189.7	199.2	177.8	183.0	181.1	189.7	190.7	191.5	196.3	199.2
9. Net external assets *(£ million)*	90.5	104.9	103.5	103.6	111.4	100.0	103.2	100.9	103.6	99.9	104.8	106.2	111.4
10. Ratio of external assets to deposits *(per cent)*	29.5	32.5	31.2	29.7		30.5	30.3	29.9	29.7	29.1	29.4	29.7	29.8

1. Annual figures for March, others for March, June, September and December.
2. End of period.
3. Annual figures are monthly averages, quarterly figures are for March, June, September and December.

Source: Quarterly Statistical Bulletin of the Central Bank of Ireland, Irish Trade Journal and Statistical Bulletin.

Table V. FOREIGN TRADE AND PAYMENTS

	1957	1958	1959	1960	1961	1960 1st QTR	1960 2nd QTR	1960 3rd QTR	1960 4th QTR	1961 1st QTR	1961 2nd QTR	1961 3rd QTR	1961 4th QTR
1. Imports *(£ million monthly average)*	15.4	16.6	17.7	18.9	21.8	19.0	18.6	17.4	20.4	21.9	22.5	20.8	22.0
2. Exports *(£ million monthly average)*	10.9	10.9	10.9	12.7	15.0	11.9	10.9	13.8	14.3	14.2	14.0	16.2	15.6
3. Trade balance *(£ million monthly average)*	—4.4	—5.6	—6.8	—6.1	—6.8	—7.1	—7.7	—3.6	—6.1	—7.7	—8.5	—4.6	—6.4
4. Volume of imports *(1953 = 100)*	88.7	100.2	109.6	114.4		115.7	113.7	106.1	122.3	129.7	132.5	120.0	
5. Volume of exports *(1953 = 100)*	116.9	114.3	109.6	130.2		121.6	111.9	139.7	147.5	143.9	141.2	166.7	
6. Import prices [1] *(1953 = 100)*	111.9	107.0	104.7	106.6		108.5	108.3	108.4	110.3	109.5	109.7	111.6	
7. Export prices [1] *(1953 = 100)*	97.6	100.1	104.0	102.2		104.0	103.0	104.5	102.6	103.3	103.7	101.5	
8. Terms of trade [1] *(1953 = 100)*	87	94	99	96		96	95	96	93	94	95	91	
9. Total external assets *(£ million)*	189.9	205.8	210.2	209.9	222.5	209.0	198.6	201.5	209.9	214.0	210.2	209.7	222.5
of which:													
Central Bank *(£ million)*	85.9	87.3	86.8	89.2	95.9	85.3	78.5	83.7	89.2	89.9	88.2	86.5	95.9
Associated banks (net) *(£ million)*	90.5	104.9	103.5	103.6	111.4	100.0	103.2	100.9	103.6	99.9	104.8	106.2	111.4
Departmental funds *(£ million)*	13.5	13.6	19.9	17.1	17.2	23.7	16.9	16.9	17.1	24.2	17.2	17.0	17.2

1. Quarterly figures are for February, May, August and November.
Source: Irish Trade Journal and Statistical Bulletin, Quarterly Statistical Bulletin of the Central Bank of Ireland.

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